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Illustration 12

Valluvar is a sole trader dealing in textiles. From the following transactions, pass journal entries for the month of March, 2018.

March		`
1	Commenced business with cash	90,000
	with goods	60,000
2	Purchased 20 readymade shirts from X and Co. on credit	10,000
3	Cash deposited into bank through Cash Deposit Machine	30,000
4	Purchased 10 readymade sarees from Y and Co. by cash	6,000
5	Paid X and Co. through NEFT	
6	Sold 5 sarees to A and Co. on credit	4,000
7	A and Co. deposited the amount due in Cash Deposit Machine	
8	Purchased 20 sarees from Z & Co. and paid through debit card	12,000
9	Stationery purchased for and paid through net banking	6,000
10	Bank charges levied	200

Solution

In the books of Valluvar

Journal entries

Date	Particulars	L.F.	Debit `	Credit `
2018 March 1	Cash A/c Dr. Stock A/c Dr. To Valluvar's Capital A/c (Valluvar commenced business with cash and goods)		90,000 60,000	 1,50,000
2	Purchases A/c Dr. To X and Co. A/c (Credit purchases made)		10,000	10,000
3	Bank A/c Dr. To Cash A/c (Deposited cash into bank)		30,000	30,000
4	Purchases A/c Dr. To Cash A/c (Goods purchased by cash)		6,000	6,000